Frictional costs, relative to the stock market, are very high. According to Munger:

> To us, investing is the equivalent of going out and betting against the pari-mutuel system. We look for the horse with one chance in two of winning which pays you three to one. You're looking for a mispriced gamble. That's what investing is. And you have to know enough to know whether the gamble is mispriced. That's value investing.[7]
>
> —*Charlie Munger*

To be a consistent winner at the race track, a person has to overcome the staggering 17 percent frictional cost of placing a bet. According to Munger, there are actually a few people who are able to make a living by betting at the race track after paying the full 17 percent.[8] These folks watch all the horses and races, yet place no bets. Then, when they encounter widely misplaced odds (in their favor) on a horse about which they know a great deal, they bet heavily on that one horse in that one race. After that, they go back to watching the horses and races indefinitely with no bets placed until another good opportunity shows up.

It is not too different from all five of our Dhandho entrepreneurs. They've all concentrated their capital and their bets. Most of the time they either do nothing or place miniscule bets (Branson). Every once in a while, they encounter overwhelming odds in their favor. At such times, they act decisively and place a large bet.

6. FOCUS ON ARBITRAGE.